

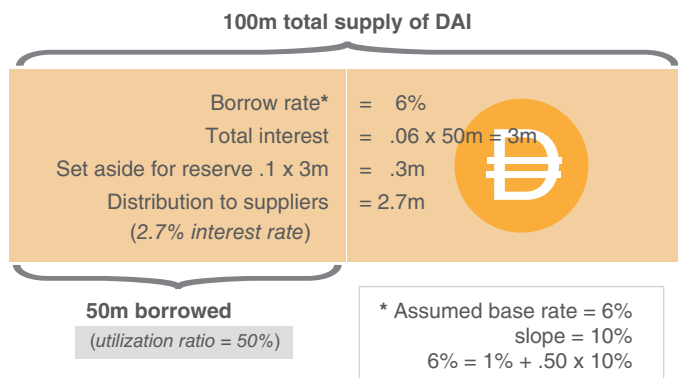


Figure 6.3 Savings and Lending Rates in Compound

The base rate remains at 1 percent. The borrow interest rate = 0.01 (base) + 0.8×0.1 (pre-kink) + 0.1×0.4 (post-kink) = 13 percent. The supply rate (assuming a reserve factor of zero) is $0.9 \times 0.13 = 11.7$ percent (Figure 6.3).

The utility of the Compound lending market is straightforward: it allows users to unlock the value of an asset without selling it and incurring a taxable event (at least under today's rules), similar to a home equity line of credit. Additionally, they can use the borrowed assets to engineer leveraged long or short positions, with competitive pooled rates and no approval process. For instance, if an investor is bearish on the price of ETH, they can simply deposit a stablecoin, such as DAI or USDC, as collateral and then borrow ETH and sell it for more of the stablecoin. If the price of ETH falls, investors use some of the DAI to purchase (cheaply) ETH to repay the debt. Compound offers several volatile